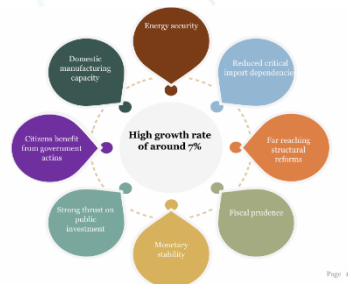




Union Budget 2026-27 highlights: Key announcements from FM Nirmala Sitharaman's speech

- Union Finance Minister Nirmala Sitharaman, presented the Union Budget 2026-27 on February 1, 2026.
- The government has chosen the path of "reforms over rhetoric", delivering growth rate of around 7% for India.
- Ms. Sitharaman delivered her ninth Budget speech in the Parliament, a first in independent India's history.
- This is also the third Budget of the BJP-led NDA government in its third term in office.
- Ms. Sitharaman had in her first Budget in 2019 replaced the leather briefcase — which was in use for decades for carrying Budget documents — with a traditional 'bahi-khata' wrapped in red cloth.
- This year's Budget would also be in paperless form.
- This is the second time a Finance Minister is presenting the Union Budget on a Sunday — the first being delivered by Yashwant Sinha on February 28, 1999 (Sunday).
- The finance minister highlighted the need to adopt new technologies in the 21st century and mentioned artificial intelligence 11 times in her speech which is the highest ever for an FM's Budget speech in India
- In 2026 the Finance Minister spoke in Parliament for 1 hour and 25 minutes, which comes to a total of 85 minutes.
- This year's Budget speech matched the length of her 2024 address. It was neither her shortest nor her longest,
- In 2025, Nirmala Sitharaman's Budget speech lasted 1 hour and 17 minutes.
- The shortest Union Budget speech ever was delivered much earlier, in 1977–78, by former Finance Minister Hirubhai M. Patel. He was serving in the Morarji Desai government.



Three 'kartavyas' of the Govt.

India's Reform Express



- Government has undertaken **comprehensive economic reforms** towards creating employment, boosting productivity and accelerating growth.
- Over **350 reforms** have been rolled out, including GST simplification, notification of Labour Codes, and rationalisation of mandatory Quality Control Orders.
- High Level Committees** have been formed.
- Central Government is working with the State Governments on **deregulation** and reducing compliance requirements.

Government's 'Sankalp'

To focus on poor, underprivileged and disadvantaged



What is the Union Budget?

- The Union Budget (technically called the Annual Financial Statement under Article 112 of the Constitution of India) lays out an account of the government's financial health.
- It tells the citizens not only how much money the government raised last year, where it spent it, and how much it had to borrow to meet the gap, but also gives an estimate of what it expects to earn in the next financial year, how much and where it plans to spend it, and how much it would likely have to borrow to bridge the gap.
- The Revenue and the Capital sections together, make the Union Budget.
- The Economic Survey provides an analytical assessment of the economy and identifies the challenges, while the Union Budget presents a concrete plan for managing the country's finances and allocating resources.

	2024-2025 वास्तविक	2025-2026 अनुमान बजट	2025-2026 संशोधित अनुमान	2026-2027 अनुमान बजट
	Actuals	Budget Estimates	Revised Estimates	Budget Estimates
1. Revenue Receipts	3036619	3420409	3342323	3533150
2. Tax Revenue (Net to Centre) ¹	2500039	2837409	2674661	2866922
3. Non Tax Revenue	536580	583000	667662	666228
4. Capital Receipts	1616249	1644936	1622519	1814165
5. Recovery of Loans	24617	29000	30190	38397
6. Other Receipts	17202	47000	33837	80000
7. Borrowings and Other Liabilities ²	1574431	1568936	1558492	1695768
8. Total Receipts (1+4)	4652867	5065345	4964842	5347315
9. Total Expenditure (10+13)	4652867	5065345	4964842	5347315
10. On Revenue Account	3600914	3944255	3869087	4125494
of which				
11. Interest Payments	1115575	1276338	1274338	1403972
12. Grants in Aid for creation of Capital Assets	272656	427192	308151	492702
13. On Capital Account	1051953	1121090	1095755	1221821
14. Effective Capital Expenditure (12+13)	1324609	1548282	1403906	1714523
15. Revenue Deficit (10-1)	564296	523846	526764	592344
	(1.7)	(1.5)	(1.5)	(1.5)
16. Effective Revenue Deficit (15-12)	291640	96654	218613	99642
	(0.9)	(0.3)	(0.6)	(0.3)
17. Fiscal Deficit [9-(1+5+6)]	1574431	1568936	1558492	1695768
	(4.8)	(4.4)	(4.4)	(4.3)
18. Primary Deficit (17-11)	458856	292598	284154	291796
	(1.4)	(0.8)	(0.8)	(0.7)

Interventions in six areas

- Scaling up manufacturing in seven strategic and frontier sectors
- Rejuvenating legacy industrial sectors
- Creating "Champion MSMEs"
- Delivering a powerful push to Infrastructure
- Ensuring long-term energy security and stability
- Developing City Economic Regions.

— Budget estimates for FY 2026-2027

- Fiscal Deficit: 4.3%
- Revenue Deficit: 1.5%
- Effective Revenue Deficit: 0.3%
- Primary Deficit: 0.7%
- Revenue Receipts: 3533150
- Capital Receipts: 1814165
- Total Receipts (Revenue + Capital): 5347315
- Total Expenditure: 5347315

Fiscal Consolidation

- — The Centre's fiscal consolidation roadmap will see a change in the target metric to its debt-to-GDP ratio, with the objective being to reduce it 50±1 percent by 2030-31.
- — For 2026-27, the debt-to-GDP target is 55.6%, down from 56.1% in 2025-26, with the fiscal deficit target set at 4.3% for the net fiscal year.

- To finance the fiscal deficit, the Centre is set to borrow Rs 17.2 lakh crore on a gross basis in 2026-27, up from Rs 14.8 lakh crore budgeted for 2025-26.
- This will be the biggest component of the Centre's fiscal deficit financing.

What are the important Budget Documents?

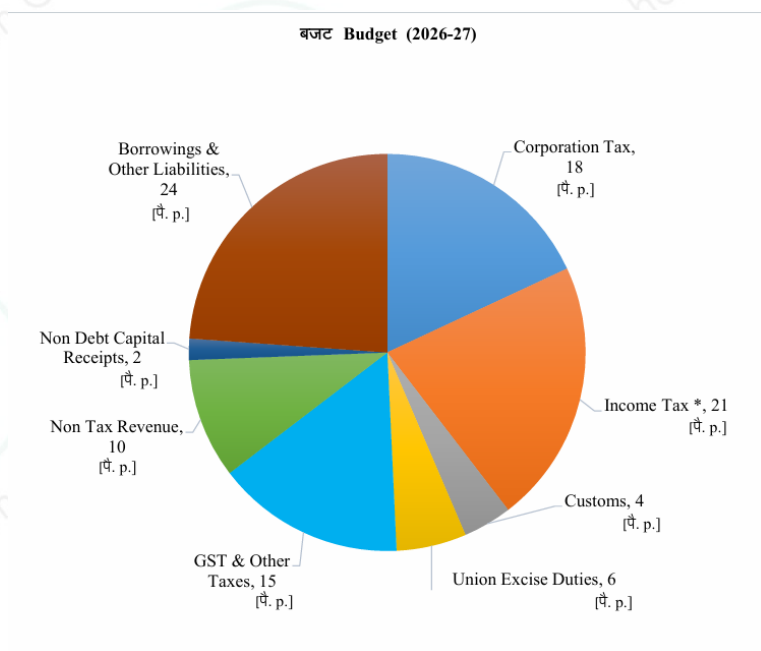
A. Documents mandated under the Constitution of India:

- Annual Financial Statement (AFS) – Under Art. 112
- Demands for Grants (DG) — Under Art. 113
- Finance Bill— Under Art. 110

B. Documents presented as per the provisions of the Fiscal Responsibility and Budget Management Act, 2003:

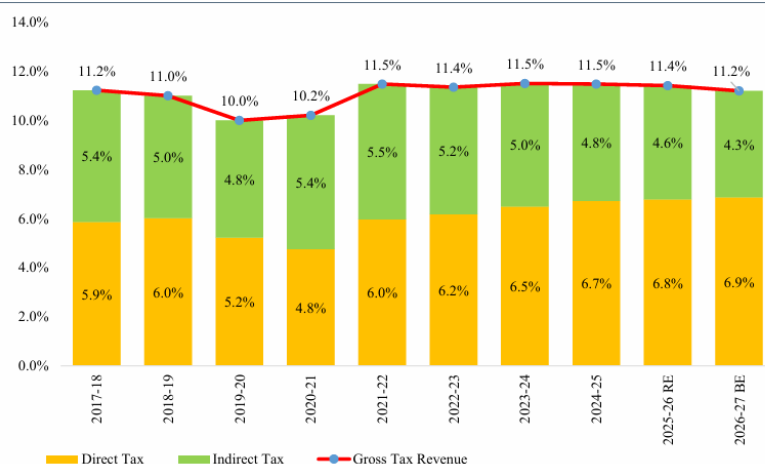
- Macro-Economic Framework Statement
- Medium-Term Fiscal Policy cum Fiscal Policy Strategy Statement

Where does the money come from?

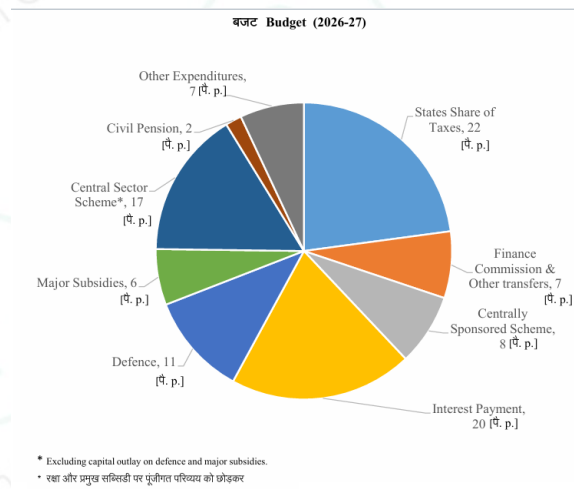


	2024-2025 वास्तविक Actuals	2025-2026 अनुमान Budget Estimates	2025-2026 संशोधित अनुमान Revised Estimates	2026-2027 अनुमान अनुमान Budget Estimates
REVENUE RECEIPTS				
1. Tax Revenue				
Gross Tax Revenue	3796382	4270233	4077772	4404086
a. Corporation Tax	986767	1082000	1109000	1231000
b. Taxes on Income	1235171	1438000	1312000	1466000
c. Customs	233201	240000	258290	271200
d. Union Excise Duties	300253	317000	336550	388910
e. GST	1027041	1178000	1046480	1019020
- CGST	908954	1010890	958480	1019020
- IGST	-32483	..	..	..
- GST Compensation Cess	150570	167110	88000	..
f. Taxes of Union Territories	9527	10133	9622	10256
g. Other Taxes	4422	5100	5830	17700
Less - NCCD transferred to the NCCF/NDRF	9458	10380	10140	10910
Less - State's share	1286885	1422444	1392971	1526255
1a Centre's Net Tax Revenue	2500039	2837409	2674661	2866922
2. Non-Tax Revenue				
Interest receipts	40435	47738	40165	41763
Dividends and Profits	308424	325000	375590	391000
External Grants	687	1175	1639	2327
Other Non Tax Revenue	184206	205668	248461	229373
Receipts of Union Territories	2828	3419	1807	1765
Total- Revenue Receipts (1a + 2)	3036619	3420409	3342323	3533150
3. CAPITAL RECEIPTS				
A. Non-debt Receipts@	41818	76000	64027	118397
B. Debt Receipts*#	1573823	1566452	1512770	1663066
Total Capital Receipts (A+B)	1615641	1642452	1576797	1781463
4. Draw-Down of Cash Balance	608	2484	45722	32702
Total Receipts (1a+2+3+4)	4652867	5065345	4964842	5347315

कर प्राप्तियों में रुझान (जीडीपी का %) TREND IN TAX RECEIPTS (% of GDP)



Where does the money go?



Expenditure of Government of India

		(₹ करोड़) (In ₹ crore)			
		2024-2025 वास्तविक	2025-2026 बजट	2025-2026 संशोधित	2026-2027 बजट
		Actuals	Budget Estimates	Revised Estimates	Budget Estimates
क. केन्द्र का व्यय	A. Centre's Expenditure				
I स्थापना व्यय	I Establishment Expenditure	829423	868096	782701	824114
II केंद्रीय क्षेत्र की योजनाएं/परियोजनाएं	II Central Sector Schemes/Projects	1494392	1621899	1637156	1771928
III केंद्रीय क्षेत्र का अन्य व्यय	III Other Central Sector Expenditure	1420966	1526008	1699445	1761387
जिसमें से ब्याज भुगतान	of which Interest Payments	1115575	1276338	1274338	1403972
ख. अंतरण	B. Transfers				
IV केंद्रीय प्रायोजित योजनाएं	IV Centrally Sponsored Schemes	402368	541850	420078	548798
V वित्त आयोग के अनुदान	V Finance Commission Grants	120858	132767	152953	129397
VI अन्य अनुदान/ऋण/अंतरण	VI Other Grants/Loans/Transfers	384860	374725	272510	311691
कुल जोड़	Grand Total	4652867	5065345	4964842	5347315

- Borrowings and other liabilities form the largest source of funds for this Budget, accounting for 24% of total inflows, unchanged from the previous year.
- Income tax is the second-largest contributor at 21% (down from 22% last year), followed by GST and other taxes at 15%, compared with 18% in 2025-26.
- Corporation tax also makes up a significant share at 18%.
- The remaining budgetary resources come from non-tax revenue, Union excise duties, customs duties, and non-debt capital receipts.

Top Allocations

1. **Ministry of Finance – ₹19.72 lakh crore** (largest share). This includes funds for interest payments, subsidies, grants to states, etc.
2. **Ministry of Defence – ₹7.85 lakh crore**: major funding for modernisation, operations, pensions, and capital outlay on aircraft/ships/technology.
3. **Ministry of Road Transport & Highways – ₹3.10 lakh crore** (capital focus on highways and connectivity).
4. **Ministry of Railways – ₹2.81 lakh crore** (expansion & network upgrades).
5. **Ministry of Home Affairs – ₹2.55 lakh crore** (central police forces, internal security)

FY27 capital expenditure raised by about 9% to ₹12.2 lakh crore

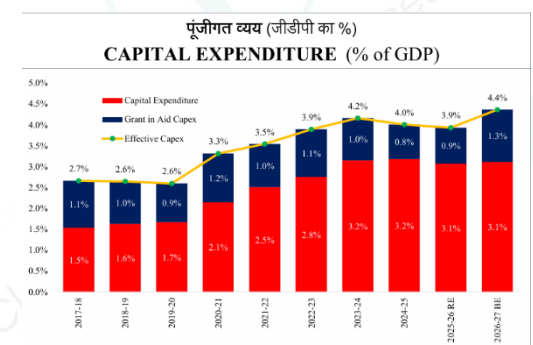
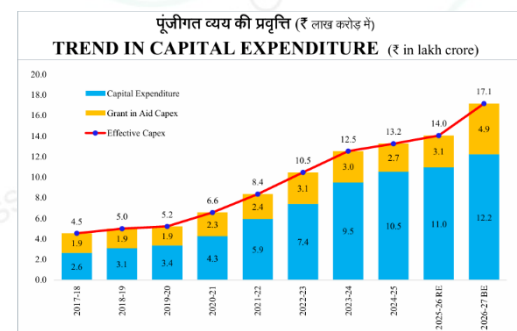
- Ms. Sitharaman announced an increase of about 9% in capital expenditure for the coming financial year, raising the allocation to ₹12.2 lakh crore “to continue the momentum”.
- Security Transaction Tax (STT) hike - proposed to raise the STT on futures to 0.05% from 0.02% and on options transactions to 0.15% from 0.01% earlier.

Union Budget 2026 : Key highlights

FM announced the budget to be ‘Yuva Shakti Driven Budget’ and the government’s sankalp is to focus on poor, underprivileged and disadvantaged.

1. Biopharma SHAKTI (Strategic for Healthcare Advancement through Knowledge, Technology and Innovation):

Finance Minister Nirmala Sitharaman proposed to develop India as a global bio-pharma manufacturing hub by establishing Bio Pharma Shakti with an outlay of Rs 10,000 crore over the next 5 years.





- This will build an ecosystem for domestic productions of biologics and biosimilars.

2. India Semiconductor Mission (ISM) 2.0 to be launched

- **India Semiconductor Mission** — Recognising the significance of semiconductors in achieving technological self-reliance and economic growth, India launched the India Semiconductor Mission (ISM) in 2021 with the aim to strengthen India's strategic position in the global value chain.

3. Odisha, Kerala, Andhra Pradesh and Tamil Nadu to establish dedicated rare earth mineral corridors.

- Rare earths are a subset of the critical minerals grouping that includes 17 metallic elements nestled lower down in the periodic table, from lanthanum (atomic number 57) to lutetium (71), as well as plus scandium (21) and yttrium (39).

4. Scheme for Enhancement of Construction & Infrastructure Equipment (CIE) to be introduced

5. Three dedicated Chemical Parks to be established

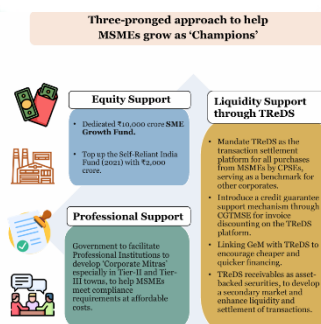
6. Manufacturing Scheme to be introduced with budgetary allocation of ₹10,000 crore over 5 year period

7. Scheme to revive 200 legacy industrial clusters to be introduced

— **Textile Sector:** the Budget has proposed a **new scheme Mahatma Gandhi Gram Swaraj Yojana** to boost the Khadi handloom sector with training, skilling, production and quality checks, says Sitharaman.

NOTE — In the last year's Budget, the government gave new definitions for micro, small and medium enterprises (MSMEs).

- The investment and turnover limits for classification of all MSMEs was increased 2.5 and two times respectively.
- This means the investment limit to be classified as a micro enterprise goes up to Rs 2.5 crore.
- For small enterprises, this limit goes up to Rs 25 crore, and for medium ones, it becomes Rs 125 crore.
- Similarly, the turnover limit for these classifications goes up to Rs 10 crore for micro enterprises, Rs 100 crore for small ones, and Rs 500 crore for medium enterprises.



8. Infrastructure: The Budget proposed to increase the Public capex to ₹12.2 lakh crore, compared to ₹2 lakh crore in FY2014-15, shows multifold increase, to continue the momentum of infrastructure development.

9. The FM has proposed to set up an Infrastructure Risk Guarantee Fund to provide prudently calibrated partial credit guarantees to lenders.

10. — For environmentally sustainable movement of cargo,

- It has been proposed to establish **new Dedicated Freight Corridors** connecting Dankuni in the East, to [Surat](#) in the West;
- Operationalise **20 new National Waterways (NW)** over next 5 years;
- Launch a **Coastal Cargo Promotion**

11. — Scheme for incentivising a modal shift from rail and road. A ship-repair ecosystem is to be established in Varanasi and Patna.

12.— Carbon Capture Utilization and Storage technologies: FM has proposed an outlay of Rs 20,000 crore over the next 5 years in Carbon Capture Utilization and Storage (CCUS) technologies to scale up and achieve higher readiness levels in end-use applications across.

- CCUS is a means of reducing atmospheric emissions of carbon dioxide — a key driver of global warming and climate change.

13— High-speed rail corridors: For environmentally sustainable passenger systems, the government will develop seven High-Speed Rail corridors between cities as 'growth connectors'.

14. — Ease of Doing Business (EoDB): For this, the Budget has announced to permitted Individual Persons Resident Outside India (PROI) to invest in equity instruments of listed Indian companies through the Portfolio Investment Scheme.

15. 'Education to Employment and Enterprise' standing committee: Union FM Nirmala Sitharaman has proposed to set up a high-powered 'Education to Employment and Enterprise' standing committee to recommend measures to focus on the services sector as a "core driver of Viksit Bharat". This will make us a global leader in services, with a 10% global share by 2047.

16. — Medical tourism service: In order to promote India as a hub for medical tourism services, a new scheme will be launched by the government to support States in establishing five Regional Medical Hubs, in partnership with the private sector.

17. — Ayurveda: Recognising the growing global demand of Ayurveda, the Budget has proposed to

- (i) set up 3 new All India Institutes of Ayurveda;
- (ii) upgrade AYUSH pharmacies and Drug Testing Labs; and
- (iii) upgrade the WHO Global Traditional Medicine Centre in Jamnagar.

18. Orange Economy: FM announces content creator labs to boost India's Animation Visual effects, Gaming and Comic (ABGC) sector in 15,000 secondary schools across India and 500 colleges.

- The "Orange Economy" refers to the segment of the economy driven by creativity, culture and intellectual property. It includes activities where value is derived mainly from ideas, knowledge, artistic expression and cultural content.

19. Education: The Budget has proposed the following:

- **National Institute of Design** to be established to boost design education and development in the eastern region of India
- **5 University Townships** to be created in vicinity of major industrial and logistic corridors
- **1 girls' hostel** to be established in every district in Higher Education STEM institutions
- **4 Telescope Infrastructure facilities** to be set up or upgraded to promote Astrophysics and Astronomy
- — **Tourism:** To promote tourism sector, the Budget has proposed the National Institute of Hospitality by upgrading the existing National Council for Hotel Management and

20. Catering Technology. A pilot scheme will be launched for upskilling 10,000 guides in 20 iconic tourist sites and a National Destination Digital Knowledge Grid will also be established to digitally document all places of significance—cultural, spiritual and heritage

- — **Heritage and Culture Tourism:** The government has proposed to develop 15 archeological sites including Lothal, Dholavira, Rakhigarhi, Adichanallur, Sarnath, Hastinapur, and Leh Palace into vibrant, experiential cultural destinations.
- — **Sports:** To transform the Sports sector over the next decade, the Budget has proposed to launch a Khelo India Mission to systematic nurturing the sports talent in the country.
- **Fisheries and animal husbandry** will be strengthened through integrated development of 500 reservoirs and Amrit Sarovars, the initiative Mission Amrit Sarovar was launched on 24th April 2022.

21. — For High Value Agriculture, the FM announced support for high-value crops such as coconut, sandalwood, cocoa and cashew in coastal areas.

- Agar trees in the Northeast and nuts such as almonds, walnuts and pine nuts in hilly regions will also be supported

22.— FM proposed Bharat-VISTAAR (Virtually Integrated System to Access Agricultural Resources) —a multilingual AI tool that shall integrate the AgriStack portals and the ICAR package on agricultural practices with AI systems.

- FM announced that **Self-Help Entrepreneur (SHE) Marts** will be set up as community-owned retail outlets. It is built in the success of Lakhpati Didi Program.

23—Healthcare & accessibility: R&D and integration into assistive devices for People with Disabilities manufactured by Artificial Limbs Manufacturing Corporation of India (ALIMCO).

24. FM laid stress on Mental Health and Trauma Care in the Budget Speech.

- Since there are no national institutes for mental healthcare in north India, the government **will set up a NIMHANS-2** and also upgrade **National Mental Health Institutes** in Ranchi and Tezpur as Regional Apex Institutions. Currently, NIMHANS is located in [Bengaluru](#), Karnataka.

25. — **FM proposed the development of Purvodaya** through an integrated East Coast Industrial Corridor with a well-connected node at Durgapur,

creation of 5 tourism destinations in the 5 Purvodaya States.

- FYI: Purvodaya focuses on five states, namely Bihar, Jharkhand, West Bengal, Odisha, and Andhra Pradesh.
- — Focussing on Buddhist sites in North-East India and civilizational confluence of Theravada and 18 Mahayana/Vajrayana traditions, FM proposed to launch a Scheme for Development of Buddhist Circuits in Arunachal Pradesh, Sikkim, Assam, Manipur, Mizoram and Tripura.

26. Promotion of exports of marine, leather, and textile products

- Increase in the limit for duty-free imports of specified inputs used for processing seafood products for export, from the current 1 per cent to 3 per cent of the FOB value of the previous year's export turnover.
- Allowance of duty-free imports of specified inputs.
- Extension of time period for export of final product from the existing 6 months to 1 year, for exporters of leather or textile garments, leather or synthetic footwear and other leather products.

16th Finance Commission

- In addition to presenting the [Union Budget](#) for 2026-27, Finance Minister Nirmala Sitharaman has also accepted the recommendations of the 16th Finance Commission – headed by former Niti Aayog Vice Chairman Arvind Panagariya – for the next five fiscal years ending in 2030-31.
- Notably, the 16th Finance Commission report was submitted to the President in November 2025, and was tabled in Parliament (February 1).
- The Finance Commission makes key recommendations that govern how much money states get as a percentage of the Central government's divisible pool of tax revenues.
- — The Government has accepted the recommendation of the Commission to retain the vertical share of devolution at 41%.
- — As recommended by the 16th Finance Commission, Rs 1.4 lakh crore allocation to states as Finance Commission grants for 2026-27 announced by FM Sitharaman.
- These include urban and rural local body, and disaster management grants.

New Income Tax Act

- — Income Tax Act, 2025 will come into effect from 1st April, 2026. The simplified Income Tax Rules and Forms will be notified shortly, giving adequate time to taxpayers to acquaint themselves with its requirements.

Railway Budget 2026: Indian Railways gets Rs 2.93 lakh cr capex allocation, total outlay at Rs 2.78 lakh cr

- The Ministry of Railways has been allocated a total capital expenditure (capex) of Rs 2,93,030 crore in the Union Budget for the financial year 2026–27.
- However, it received total outlay of Rs 2,78,030 crore in the Budget 2026. This is the highest-ever allocation for the ministry.
- The provision under Capital expenditure towards New Lines, Gauge conversion, Doubling, Traffic facilities, Rolling Stock etc. is met from the gross budgetary support.
- A total outlay of..Rs 2,77,830 crore is provided for capital expenditure in BE 2026-27. Further amount of..Rs 200 crore is being met from Nirbhaya Fund in BE 2026-27,
- In the Union Budget 2026-27, Finance Minister Nirmala Sitharaman proposed to develop seven high-speed rail corridors across the country.
- These are: Mumbai-Pune, Pune-Hyderabad, Hyderabad-Bangalore, Hyderabad-Chennai, Chennai-Bangalore, Delhi-Varanasi, and Varanasi-Siliguri.
- The key focus areas for capital expenditure include: construction of new line, gauge conversion, doubling, traffic facilities, rolling stock, etc.

Union Budget 2026: what gets costlier, what gets cheaper?

What gets costlier ?
Umbrella and its parts
Gutka
Paan Masala
Beedis
Khanij (Minerals such as Iron, Coal, Salt)
Futures and derivative trading

What gets cheaper?
17 Cancer drugs or medicines
Leather or synthetic footwear
Smartphones
EV batteries
Microwave ovens
Solar panels
Lithium Battery Components
Drugs and medicines for 7 additional rare diseases
Civilian training aircraft parts
Leather products
Dutiable drugs and medicines imported for personal use (HS Code: 9804)
Overseas Tours packages

India Budget 2026: Finance Minister Nirmala Sitharaman chooses Kanjeevaram saree and Bahi-Khata tablet for budget presentation

- This time the minister has gone for handwoven traditional Kanjeevaram silk saree, sourced from Tamil Nadu's centuries-old weaving traditions.
- the now-iconic digital tablet enclosed in a traditional red bahi-khata-style pouch.
- Traditionally, the Kanjeevaram is a sari that is usually handwoven in mulberry silk and has pure gold or silver zari that renders it a festive quality.



Consider the following statements regarding the Union Budget 2026–27:

1. The fiscal deficit target for FY 2026–27 is set at 4.3% of GDP.
2. The Centre has adopted debt-to-GDP ratio as the new fiscal consolidation target metric.
3. The debt-to-GDP ratio target for 2026–27 is higher than that of 2025–26.

Which of the statements given above is/are correct?

- A. 1 and 2 only
- B. 2 and 3 only
- C. 1 and 3 only
- D. 1, 2 and 3

Answer: A

Which Ministry received the highest budgetary allocation in the Union Budget 2026–27?

- A. Ministry of Defence
- B. Ministry of Railways
- C. Ministry of Finance
- D. Ministry of Road Transport & Highways

Answer: C

The proposed **Infrastructure Risk Guarantee Fund** in the Union Budget 2026–27 aims to:

- A. Provide full sovereign guarantees for infrastructure projects
- B. Offer partial credit guarantees to infrastructure lenders

- C. Replace viability gap funding mechanisms
- D. Finance greenfield infrastructure projects directly

Answer: B

With reference to Budget documents in India, consider the following statements:

1. The Annual Financial Statement is mandated under **Article 112** of the Constitution.
2. The Medium-Term Fiscal Policy Statement is presented under the **FRBM Act, 2003**.
3. The Finance Bill is presented under **Article 113** of the Constitution.

Which of the statements given above is/are correct?

- A. 1 and 2 only
- B. 2 and 3 only
- C. 1 only
- D. 1, 2 and 3

Answer: A

Question of the Day

Under the **Orange Economy** initiative announced in Budget 2026–27, the government proposed:

- A. Establishment of creative hubs in all state capitals
- B. Setting up content creator labs in schools and colleges
- C. Launch of a national animation export policy
- D. Creation of a dedicated ministry for cultural industries